Viyash Scientific Ltd: Concall Tracker

Formerly SeQuent Scientific | NSE: VIYASH | BSE: 512529 | Quarter: Q1 2027 (Apr to Jun 2026) | Builds on the Q4-2026 report | Newest call read: Q1 FY27, Aug 2026

1. Snapshot

What it does: Viyash makes animal medicines (for farm animals and, more and more, pets), the active drug chemicals that go inside medicines (APIs) for both human and animal drugs, and some contract manufacturing for big drug companies (CDMO). Most of it is sold abroad, in Europe, Turkey, Latin America and the US. It's the result of merging two Carlyle-owned firms, SeQuent Scientific and Viyash Life Sciences, completed in November 2025.

Figure	Value	Plain read
Market value	₹10,139 cr	What the market prices the company at today (early Nov 2026). Share price ₹229, down from ~₹294 at our last report.
P/E (Screener)	~119	Looks very pricey, but it's based on reported profit that still carries merger accounting charges. Still not cheap on any measure.
Q1 FY27 revenue	₹946 cr	Sales for Apr to Jun 2026, up 19.5% on a year ago and 2.9% on the March quarter.
Q1 FY27 operating profit (adj. EBITDA*)	₹205 cr, 21.6% margin	Up 59%. Keeps about 22 paise per rupee of sales, against 16 paise a year ago.
Q1 FY27 net profit	₹79 cr	More than double last year's ₹37 cr, and that's after a one-off ₹19 cr stock-option charge.
Net debt	₹86 cr	Borrowings minus cash. About a tenth of one quarter's operating profit, so practically debt-free.
Promoter (Carlyle) holding	61.3% (Jun 2026)	The private-equity owner still controls the company.

*Adjusted EBITDA = operating profit before interest, tax, depreciation and amortisation, excluding one-offs, as reported by management.

2. Concall coverage

Quarter(s)	Call date	How it was used
Q2 FY24 to Q3 FY26 (11 calls incl. Oct 2024 merger call)	Nov 2023 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	20 May 2026	Read in the Q4-2026 report; used for continuity
Q1 FY27	**Aug 2026 (transcript filed 16 Aug)**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The backstory comes from the Q4-2026 report. Calls after 30 Sep 2026 are left for the next report.

Latest concall highlights: Q1 FY27 (Aug 2026)

- **Second strong quarter in a row.** Revenue ₹946 cr (+19.5%), operating profit ₹205 cr (+59%), margin 21.6%. Gross margin rose to 54.1%, so the gain is coming from better products, not just cost cuts. Management says the merger integration is now "complete".
- **Where growth came from.** US human-drug formulations grew about 60% after moving production to India with in-house API. Emerging markets (Turkey, Brazil, Mexico) grew 36%, mostly volume. India animal health grew 60%. Europe was flat in euro terms; management calls it timing and still expects 18 to 20% for the year in rupees.
- **API flat, blamed on the war.** Raw material prices jumped and customers held back orders in June. Management says orders came back in July and the September quarter will be the "best quarter in history" for API. A bigger Albendazole plant at Vizag got US approval and started selling from July.
- **Pet-medicine push.** Signed to buy BioForLife in Italy (about 85 companion-animal products, wide vet-clinic reach), expected to close in a few months. A new pet-tablet plant should be ready by Jan to Feb 2027. Real revenue from these is two years or more away.
- **Guidance and tone:** confident. Overall growth of 13 to 15% this year, animal API above 20%, a $1 bn revenue goal for 2032 (they say that's about 18% a year). Stock-option costs will be heavy this year (~₹150 cr in total) and fall to ₹25 to 30 cr in FY28.

Business mix & capacity

Domestic vs export: Mostly export. A single India vs export split for the merged group still isn't disclosed. API is about 40 to 45% of revenue (about two-thirds human, one-third animal). In formulations, US human drugs were ₹126 cr of ₹554 cr this quarter; the rest is animal health in Europe, emerging markets and India.
Capacity: Last stated at 60 to 70% use, leaving room to grow without big new plants. Management says 90% of the business is mature and needs little capital; capex is ₹250 to 300 cr a year, mostly for pet medicines, Albendazole and R&D.

Since our last report

Builds on the Q4-2026 report (boundary call 20 May 2026). Prior verdicts: **Trigger YES**, **Consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: merger margin step-up	~20% margin already hit a year early	21.6% margin, gross margin up, debt nearly gone	Confirmed
Consistency	Hit each milestone, often early	Integration called complete; Q1 numbers in line with the "20 to 22%" margin they set	Confirmed
Operating profit ~₹800 cr in FY27/28	Target	Q1 run-rate ₹205 cr a quarter, already at that pace	On track
~15% yearly growth	"Definitely possible"	Q1 +19.5%; full-year guide 13 to 15%	On track
Weak cash conversion	Watch item	Not discussed directly; they said operating profit to net profit conversion is improving and debt kept falling	Improving (partly)
Minority partners take ~20% of profit	Watch item	Now ~16 to 17%; plan to buy out the US and Spain partners within two years	Improving
Pet medicines and CDMO	Unproven, years away	BioForLife deal signed, pet plant on schedule; oncology API revenue starts 2029	On track (still early)

Verdict change: both unchanged. The core trigger keeps showing up in the numbers. The new things to watch are the war-hit API timing, flat Europe in euro terms, and a European acquisition after SeQuent's poor past record there (Alivira), which management says it has learnt from.

3. Earning Trigger thesis ★

The merger turned a barely profitable animal-health company into one earning over 20% margins by making its own APIs, dropping commodity products, and cutting duplicate costs. That step-up is now in the numbers and holding. On top of it, the US business has been fixed by moving products to India, and extra profit will flow from lower goodwill write-downs (gone from the December quarter), lower stock-option costs in FY28, and buying out the minority partners. Pet medicines and complex oncology APIs are the next legs, but they pay off from 2029 on.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Merger margin step-up	20 to 22% margin, sustained	21.6% in Q1, up from 16.2%	Delivered	Strong	Unchanged
US formulations turnaround	Move to India, full API integration	+60% growth; US arm's margin up sharply	Now	Strong	↑ new evidence
Animal API scale-up (Albendazole)	Above 20% growth this year	Vizag capacity approved and selling from July; Q1 API flat	FY27	Moderate	Unchanged
Below-the-line profit lift	Goodwill charge falls away; options cost drops in FY28; buy out minorities in two years	Schedule given, finance costs already falling	FY27 to FY28	Moderate	↑ clearer timeline
Pet medicines (BioForLife, Boehringer India deal)	$150 to 200 m by 2032	Deal signed, plant by early 2027; no revenue yet	2028 onward	Unproven	↑ acquisition signed
Oncology / first-to-file APIs, CDMO	Revenue from 2029, big after 2030	5 to 6 APIs filed, labs built	2029 onward	Unproven	Unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 to FY25 (backstory)	Double-digit margin, then mid-teens, return to profit	Hit each step	Delivered
Oct 2024 merger call	Close in 12 to 15 months; ~20% margin by FY27 to FY28	Closed Nov 2025; 20% reached in FY26	Delivered
May 2026	Keep margin around 20%; synergies flowing; go debt-free	21.6% margin; net debt ₹86 cr; integration complete	Delivered
May 2026	Companion-animal push, pet plant and R&D	R&D hired and equipped; plant design final, ready Jan to Feb 2027; Italy deal signed	On track
Aug 2026 (new)	API to rebound in Q2; Europe 18 to 20% for the year	Not yet tested	Too early

Narrative drift: steady. The story is still fix margins, merge, then grow, and the call didn't change it. What's new is more detail on the next leg (pets in Europe, oncology APIs) and a plain admission that big new-product revenue won't come before 2029. The one thing to watch is explanations for soft spots. API and Europe were both put down to timing this quarter. Fine once, but if the September quarter doesn't show the promised API record, that's the first real miss.

5. Bottom line

Durable earning trigger? YES vs last quarter: unchanged

Nothing moved it. The merger margin lift held for a second quarter as a combined company, and the US business turning around adds a fresh source of profit. Lower goodwill and option charges, plus buying out minority partners,

should lift reported profit further over FY27 and FY28. The catch is that most new growth engines are 2029 stories, and the stock still isn't cheap.

Management consistent? YES vs last quarter: unchanged

Integration finished as promised, margins sit inside the range they gave, debt kept falling, and the pet-medicine steps are on schedule. They were also open about the stock-option cost and long product timelines. The September quarter is a clear test, since they called it the best API quarter ever.

Sources: Screener.in data; Viyash Scientific Q1 FY27 earnings-call transcript (filed 16 Aug 2026); prior Q4-2026 concall-tracker report for the FY24 to FY26 backstory. Prepared Nov 2026, covering calls up to 30 Sep 2026. Not investment advice.